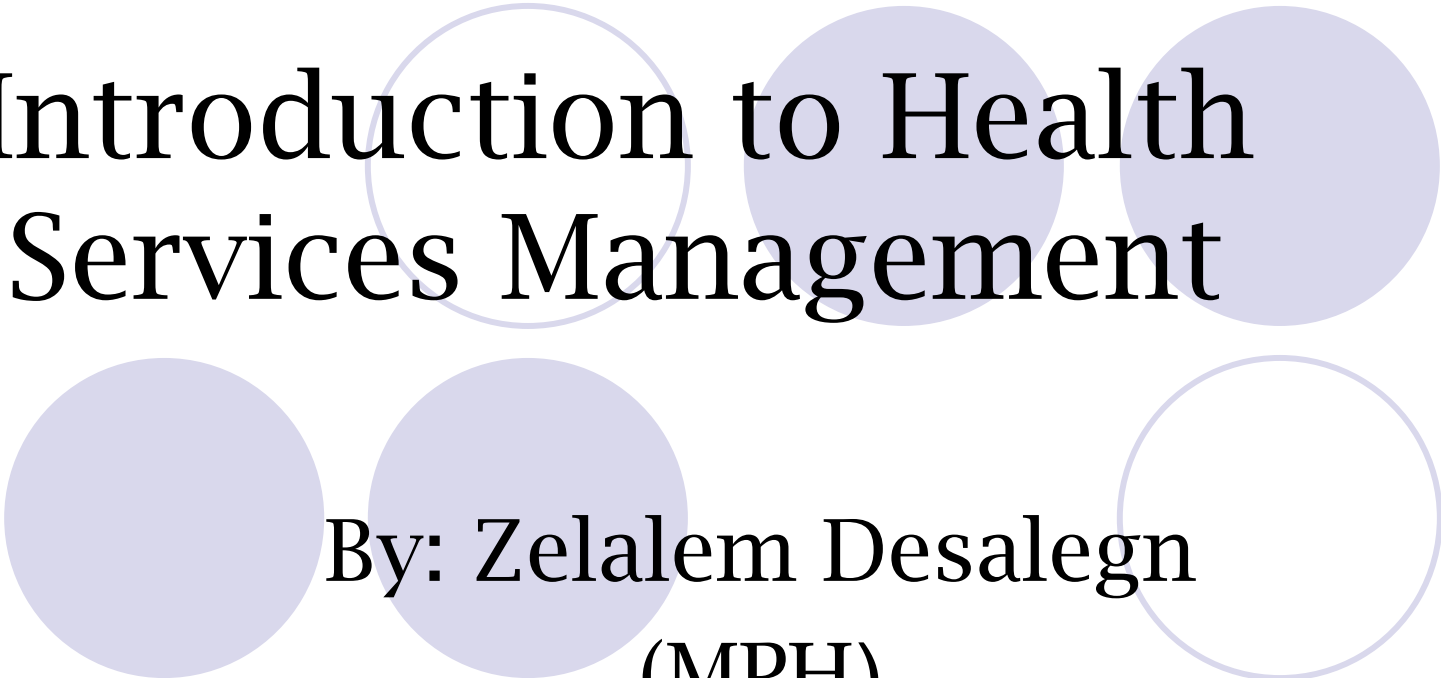




# Introduction to Health Services Management

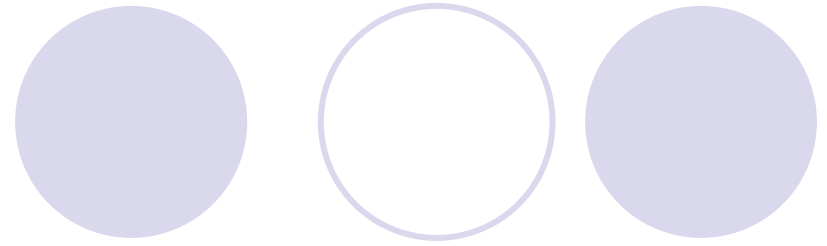
By: Zelalem Desalegn  
(MPH)



# Outline

- Historical Background
- Functions of Management
- Principles of Management
- Managerial Skills and Roles

# Common Terms

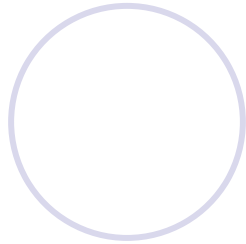
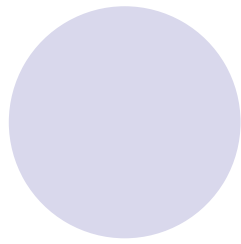


- Health
- Health care
- Health services
- HSOs/HS
- Management

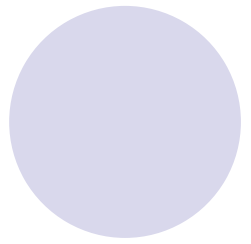
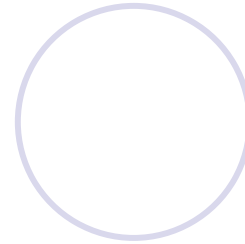
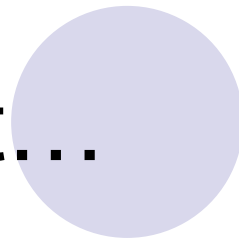
# Definitions of terms

## ***Health***

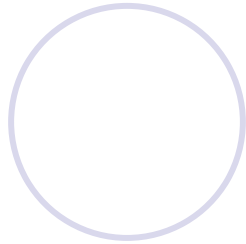
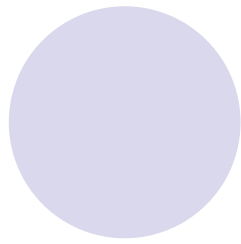
- The absence of disease.
- WHO, (1975) defined:
  - A state of complete physical, mental, and social well-being, not merely the absence of disease .



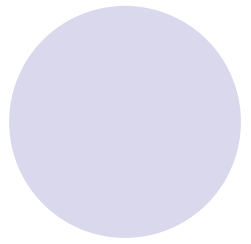
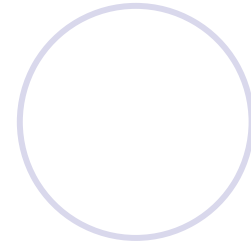
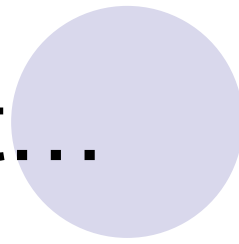
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- A useful contemporary definition of Western societies:
  - The maximization of the biological & clinical indicators of organ function and the maximization of physical, mental & role functioning in everyday life.
- *What's the importance ?*



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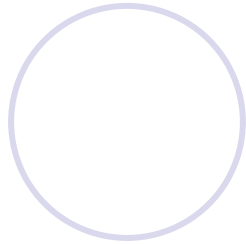
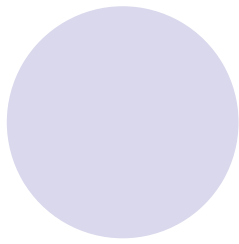


## Negative terms and narrow definitions

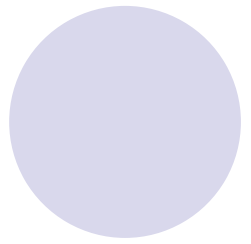
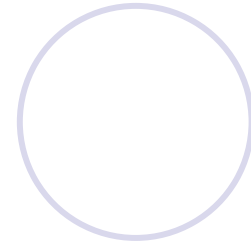
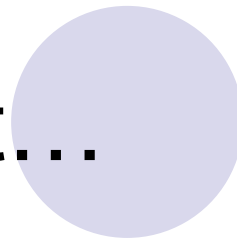
- intervene only in life threatening traumas & illnesses

## Positive terms & broad definitions

- a variety of significant interventions to enhance the health of its members.



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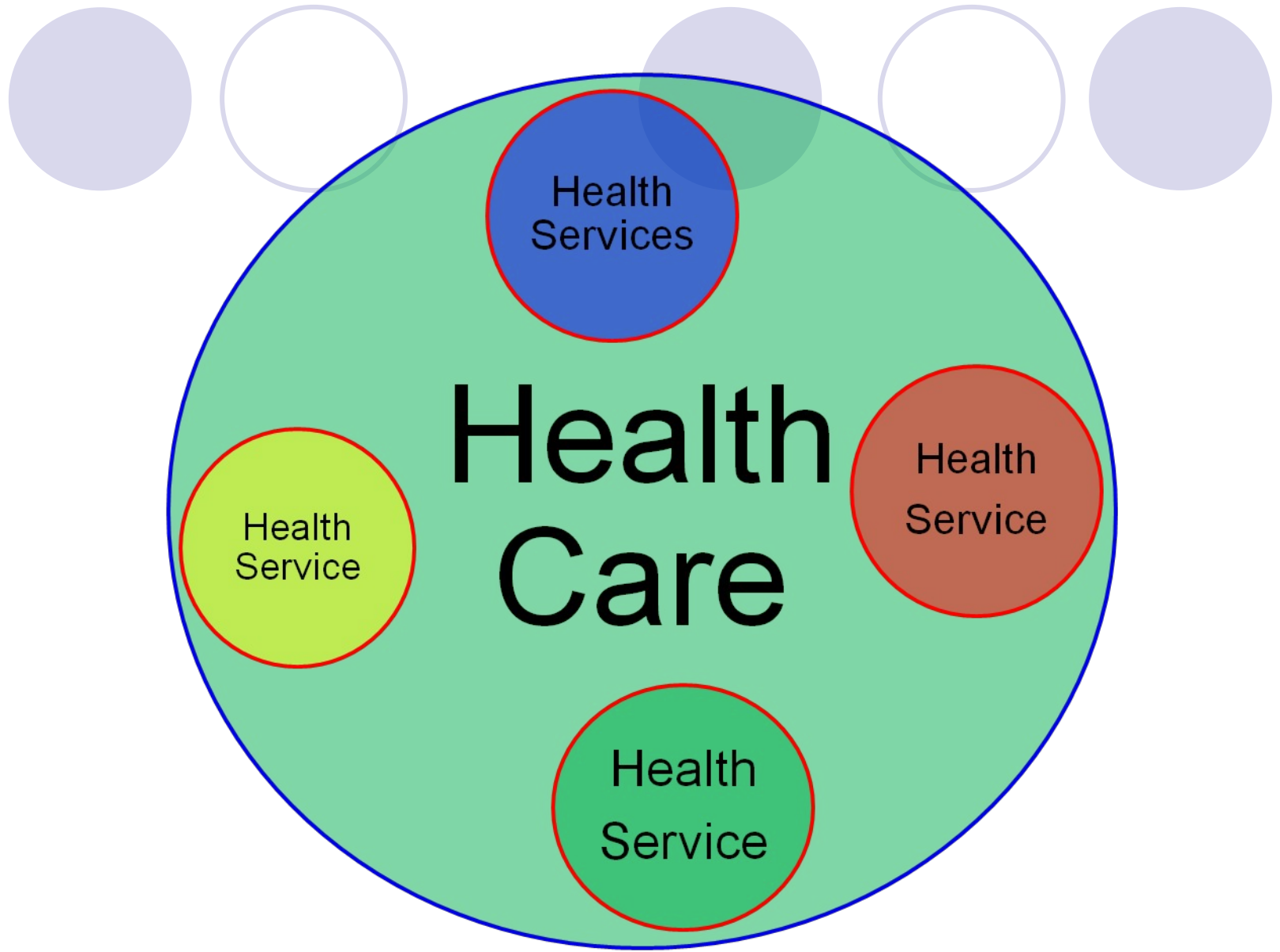


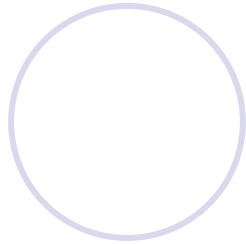
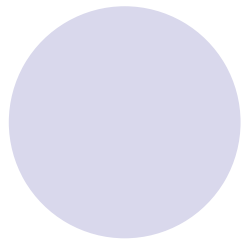
## **Health care**

- Is the total societal effort, undertaken in the private and public sectors, focused on pursuing health.

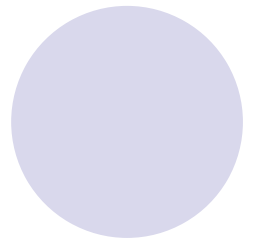
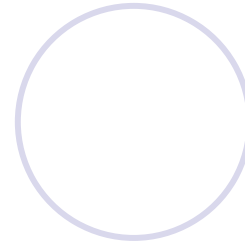
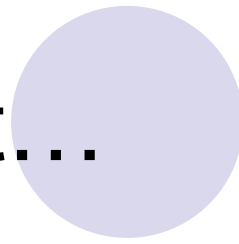
## **Health services**

- Are specific activities undertaken to maintain or improve health or to prevent decrements of health.
  - Can be preventive, promotive, curative or rehabilitative in nature.





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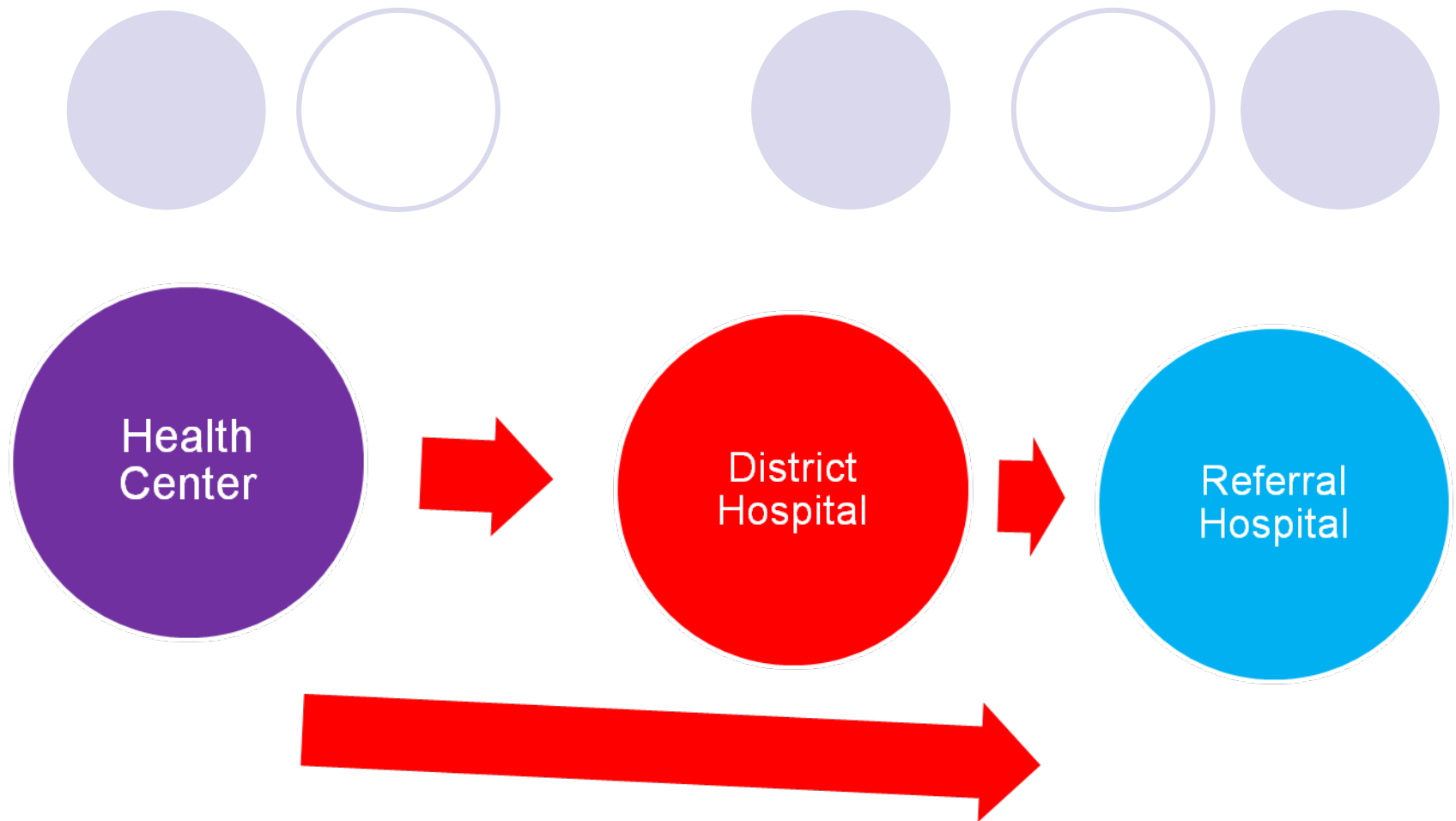


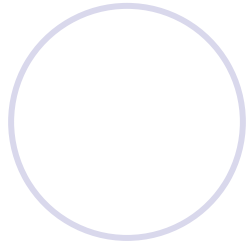
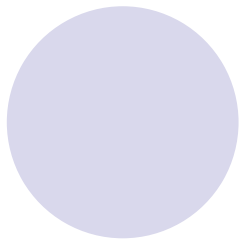
## **Health service organizations (HSOs)**

- Organizational structure within which the delivery of health services is directed to consumers.

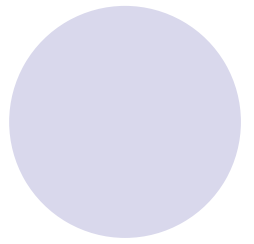
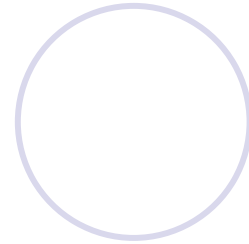
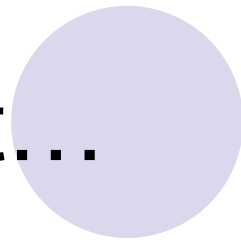
## **Health systems**

- Are formally linked HSOs, possibly including financial arrangements, joined together to provide more coordinated & comprehensive health services



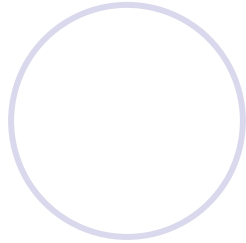
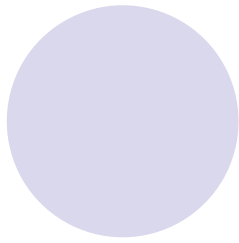


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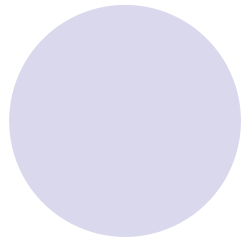
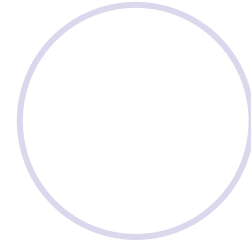
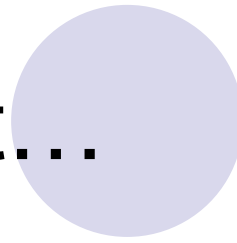


# Management

- A practice which existed ever since man has been organized into communities (old & universal).
- Has been defined in ways that appear different but with a strong underlying similarity.



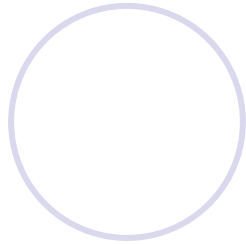
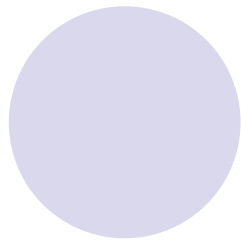
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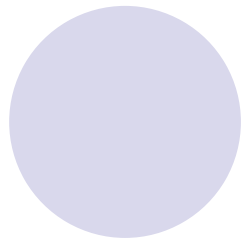
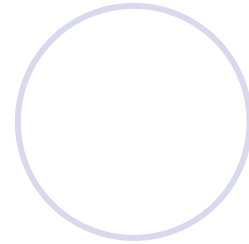
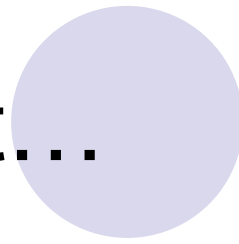
- ***Mary Parker Follet***, *art of getting things done through other people.*

## **Harold Koontz**

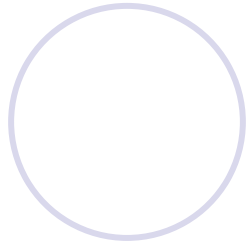
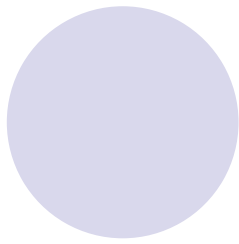
- *management is the process of designing and maintaining an environment in which individuals working together in groups, efficiently accomplish selected aims.*



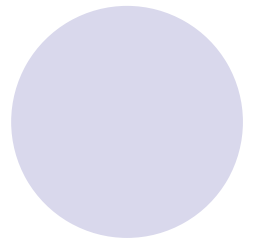
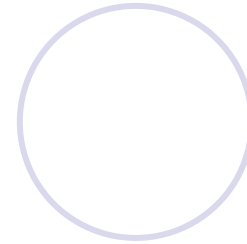
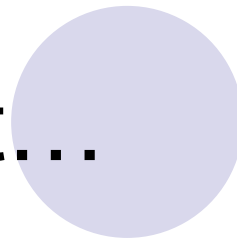
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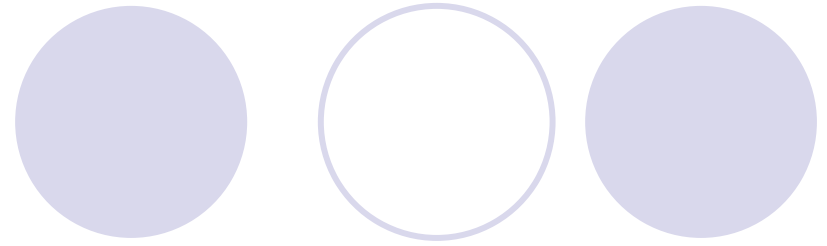
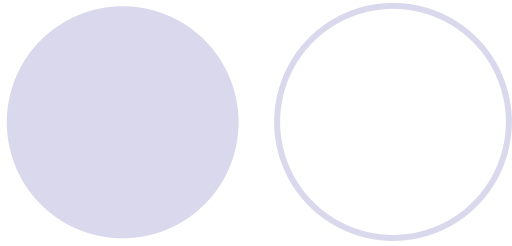
- **George R. Terry**, the process of planning, organizing, leading/directing and controlling the efforts of organizational members and using all available organizational resources to reach predetermined objectives.



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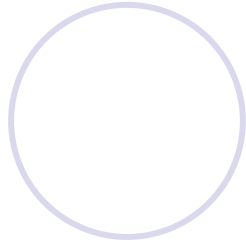
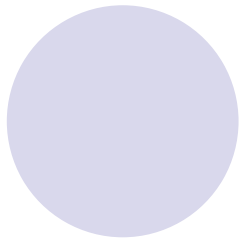
- ***The process composed of interrelated social and technical functions & activities, occurring in a formal organizational set up for the purpose of accomplishing predetermined objectives through the use of humans and other resources.***



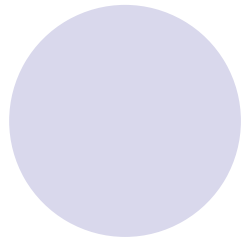
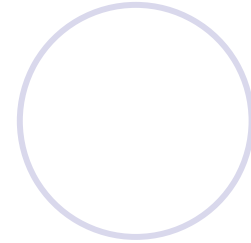
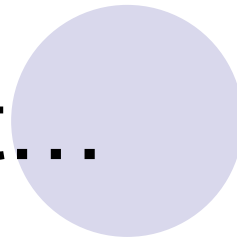
## Common points

- is a **process** – a set of interactive & interrelated ongoing functions and activities
- involves accomplishing organizational **objectives**
- use of people **human & other resources**
- occurs in a **formal** organizational setting

**N.B** *People are the most important resources*



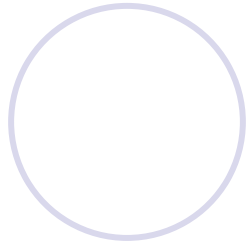
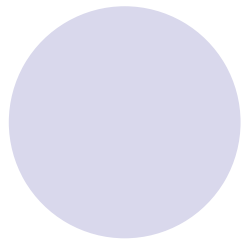
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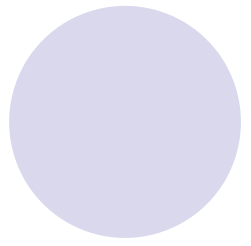
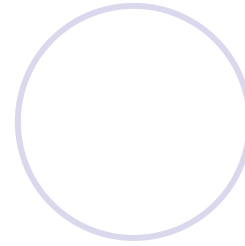
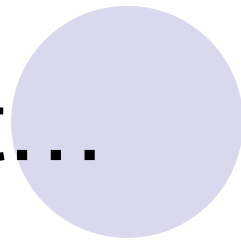
- In conclusion, **Management work** involves establishing organizational objectives and creating organizational environment in which the **direct work**, aided by **support work**, can lead to the accomplishment of predetermined objectives.

# History of management

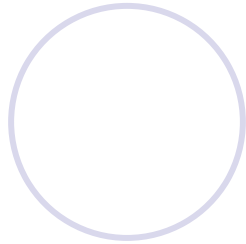
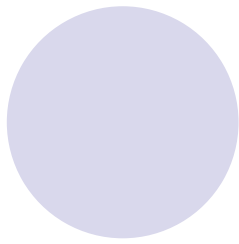
- The story of development of management is essentially the story of mankind.
- Management is as old as civilization.
- It can be traced back to ancient time when people started forming group, which needed some body to organize and coordinate the activities of the people.
  - e.g. the Egyptian Pyramids
  - the Great Wall of China



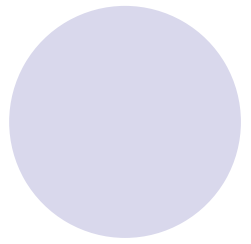
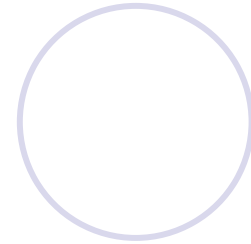
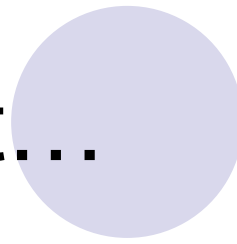
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- current evidences, where these projects of tremendous scope, employing tens of thousands of people, were undertaken well before modern times.
- Without proper planning, organizing and controlling such projects would not have been completed successfully.



# Cont...



- Study of management as a separate & distinct subject with different theories and techniques is a product of the **20th C.**
- It is the work of Fredrick Winslow Taylor (during the scientific management movement ).
- Introduction of management into health care system is even a **very recent story** ( i.e. 3 - 4 decades)

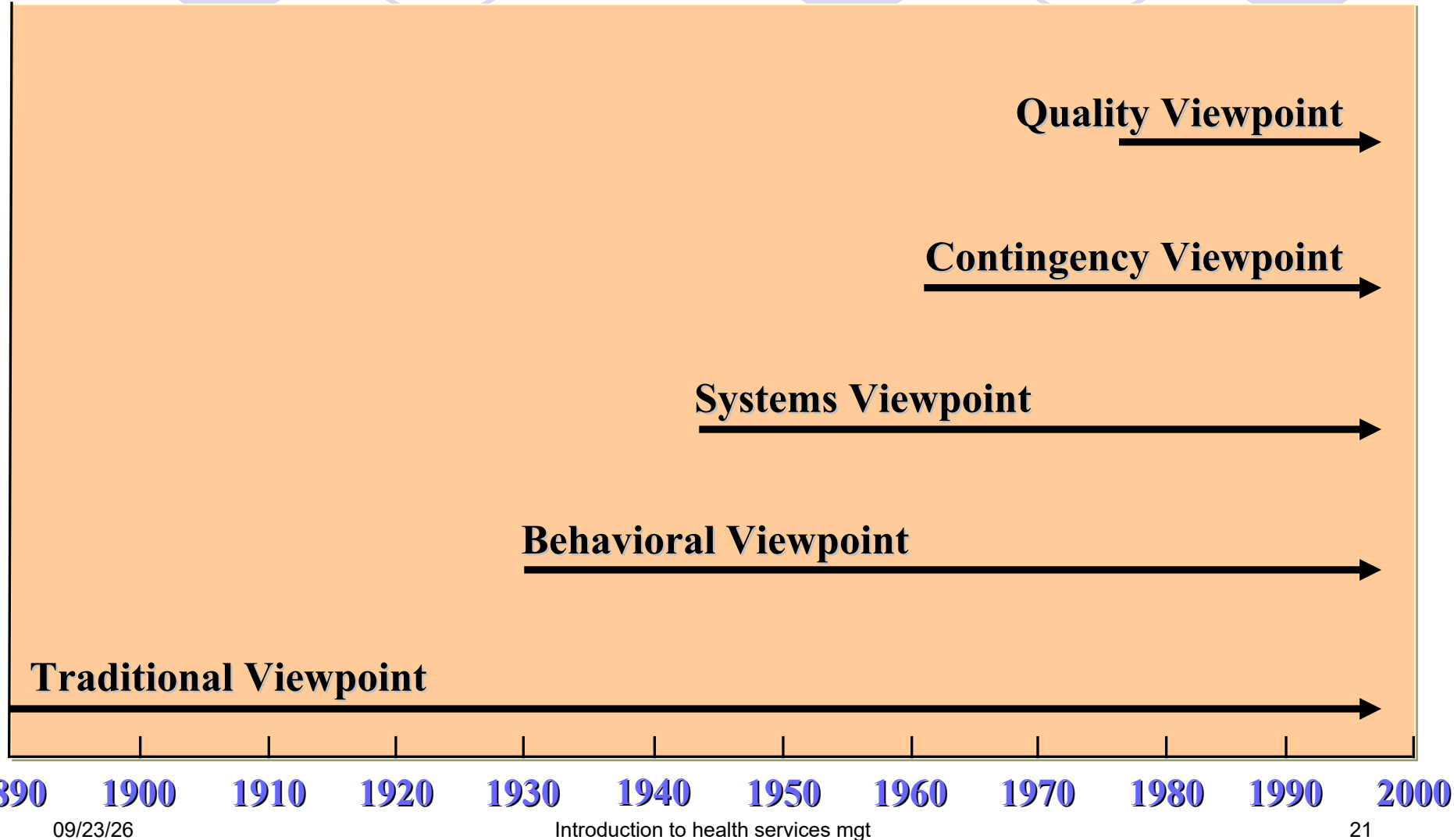
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- **Frederick W. Taylor**

- The father of Scientific Management
  - the 1st Efficiency Expert.
- Proposed set of management practices that are based on facts and observations.

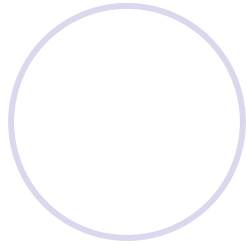
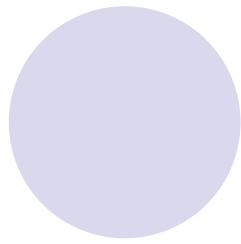


# History of Management Thought

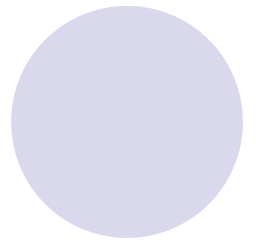
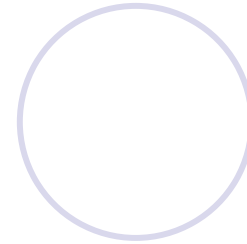
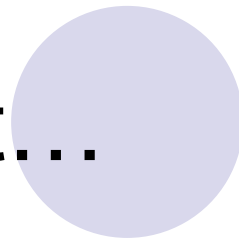


# Classic Management Theory

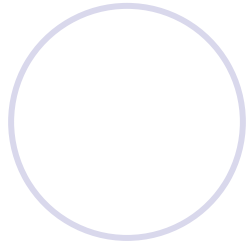
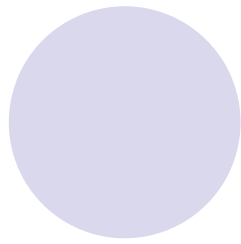
- ❑ Scientific management (**1890-1940**)
  - Emphasized scientifically determined changes in management practices as a solution to improving labor productivity
  - The basic idea is managers should use and develop standard methods for doing each job, support workers, eliminate interruptions and provide wage incentives



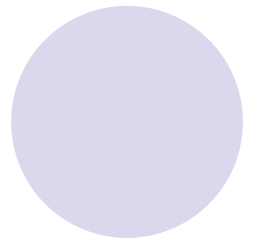
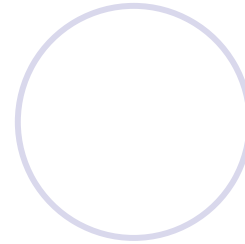
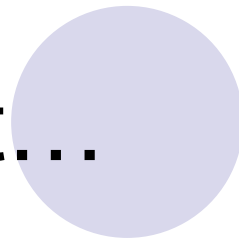
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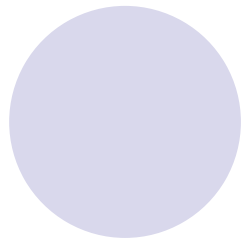
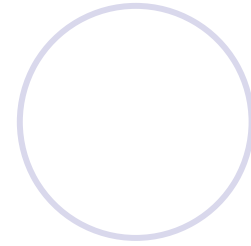
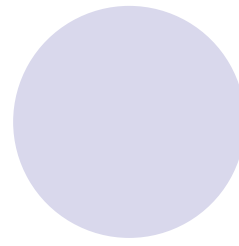
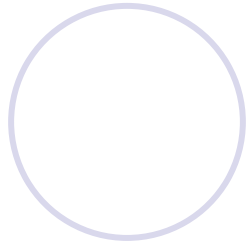
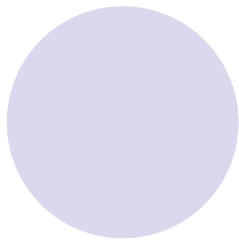
- Believed ,increased productivity depended on finding ways to make workers more efficient.
- Increased productivity depends on efficient workers
- The approach is ;
  - Programming the job
  - Choosing the right person for the job
  - Training the person to do the job



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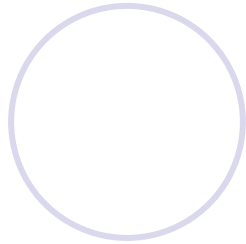
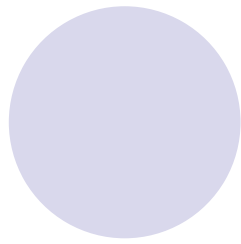


- Organizations that specialize in the treatment of selected diseases:
  - Cardiac center
  - Oncology center
  - Diabetic center
- Are largely based on scientific management school.
- Help to contribute an organization's quality improvement effort.

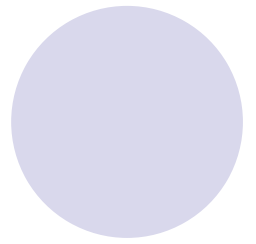
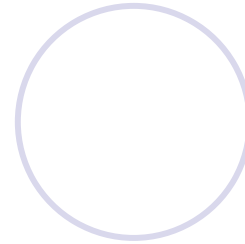
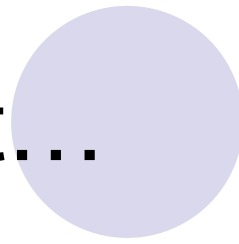


## **Bureaucratic /Administration Theory (1930-1950)**

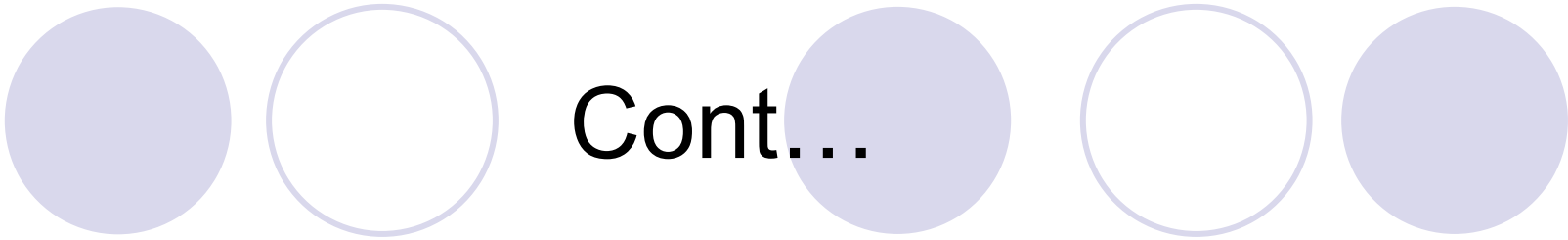
- Max Weber embellished the scientific management theory with his bureaucratic theory.
- Weber focused on **dividing organizations into hierarchies**, establishing strong lines of authority and control .



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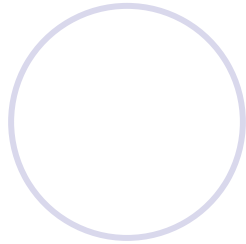
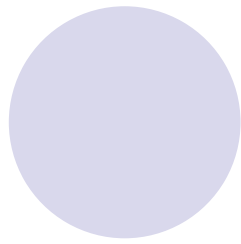
- ❑ An other subtype of the classic theory characterized by:
  - Clear definition of authority and responsibility
  - A chain of command
  - Strict rules, disciplines and control
- ❑ Most HSOs are organized along bureaucratic lines.



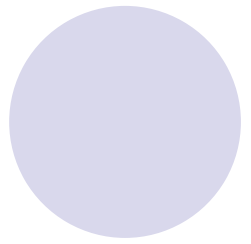
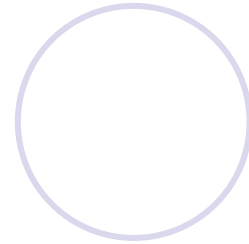
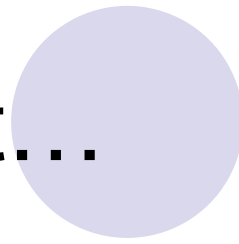
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## Behavioral theory (1900-1940)

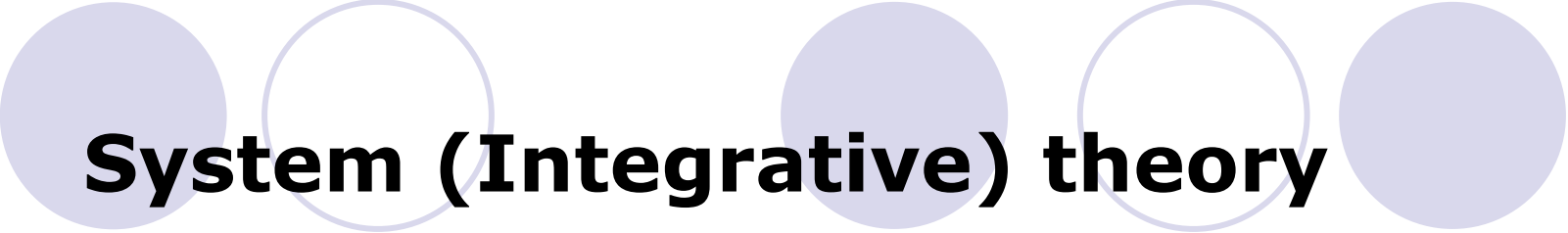
- Focus changed from job to people who perform it.
- It Focuses the change on people who perform the job rather than on the job. **Satisfy individual needs !**
- Satisfying individual need is seen as **worthy goal by itself** (Argyrs 1964, Bernard 1938, Likert 1937).
- **Employees will be given greater autonomy to identify and solve problems.**



Cont...



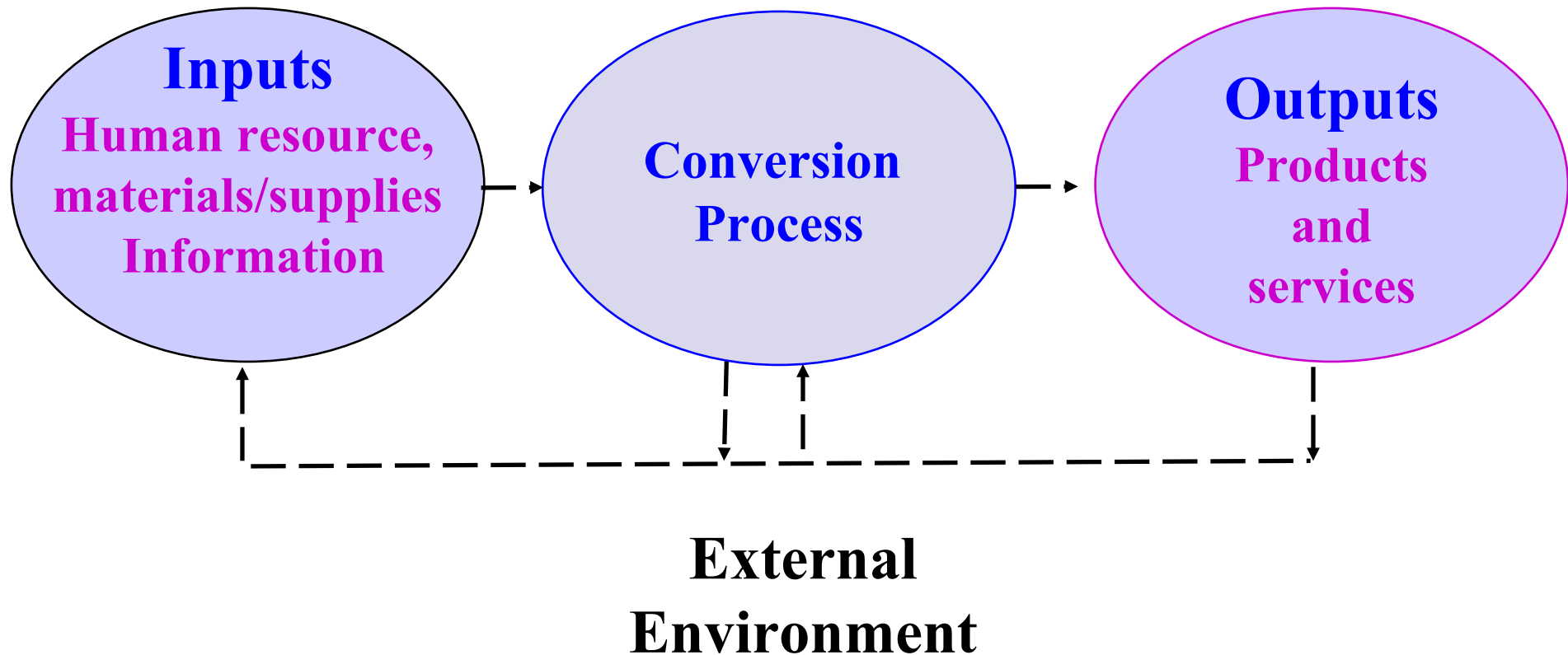
- The approach emphasizes the **importance of participatory decision making.**
- The behavioral sciences played a strong role in helping to understand the needs of workers and **how the needs of the organization and its workers could be better aligned.**

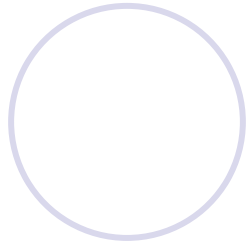
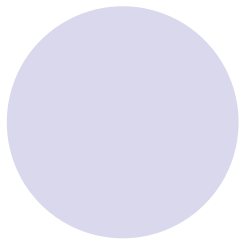


# System (Integrative) theory

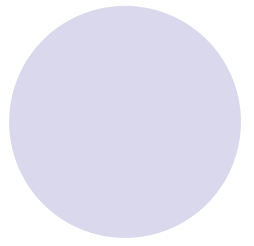
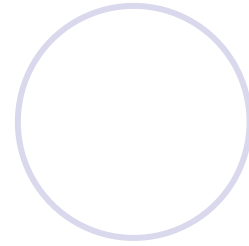
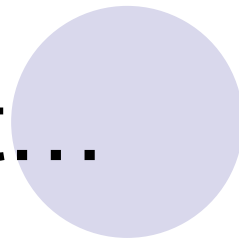
- **Views productivity as a function of the interplay among people, structure, technology, and environment.**
- **Open system view takes organization as a whole and the interrelation ship of its parts.**
- Takes HSO as an open system that interact with external environment continuously.

# Systems View of Organizations



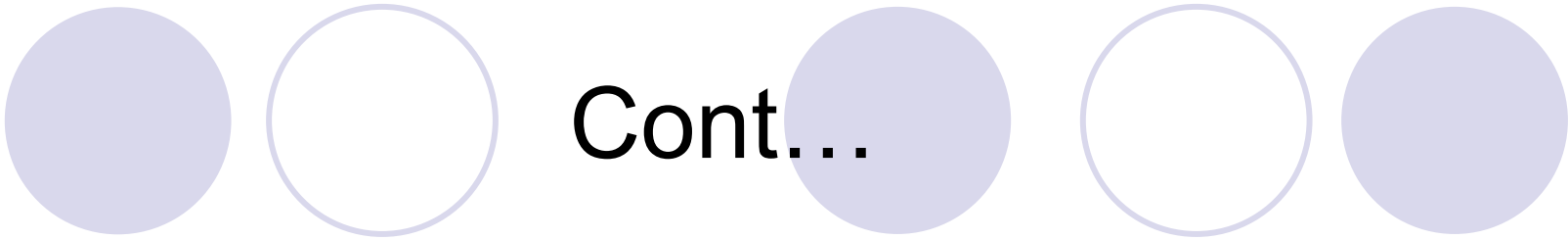


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## **The inputs are;**

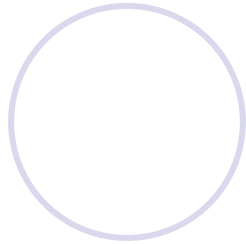
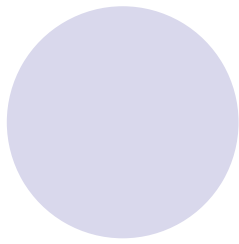
- Human resources
- Materials/supplies
- Technology
- Equipments
- Information
- Capital
- Patients
- Customers



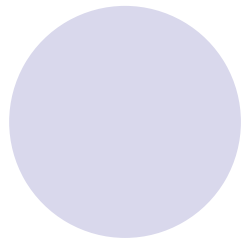
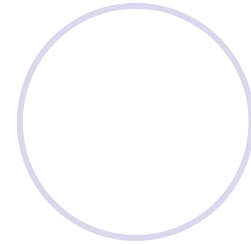
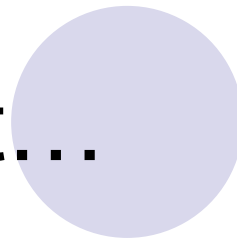
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## ***Conversion [integration]***

- Conversion of inputs to outputs occurs when managers integrates structure, tasks/technology and people in the context of the organizational culture and in response to meeting the needs of internal and external stakeholders.



Cont...



## **Out puts are;**

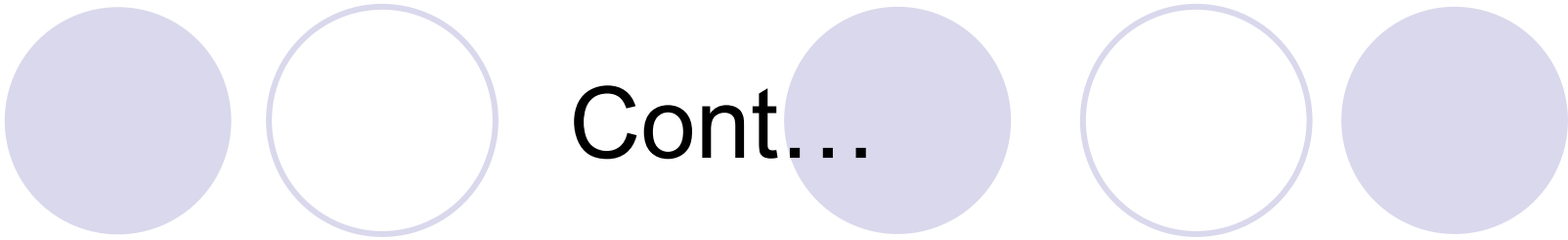
- Patient care/customer service
- Quality output/outcome
- Appropriate costs
- Organizational survival
- Social responsibility
- Education/training
- Reputation/image



## Components of the external environment :

### General environment

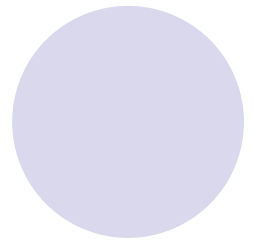
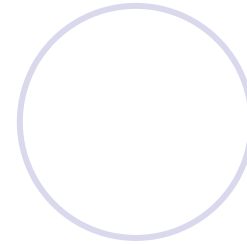
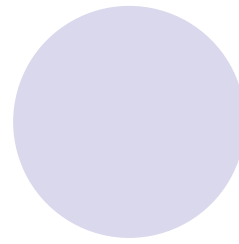
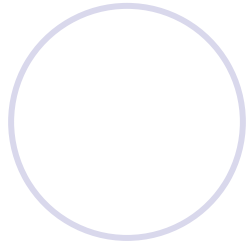
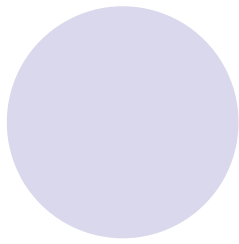
- ✓ Political
  - ➔ *Policy making, political institutions*
- ✓ Public expectations
  - ➔ *Community, interest groups, media, ...*
- ✓ Ethical /legal issues
- ✓ Economic issues
  - ➔ *Suppliers, Clients, share holders, ..*
- ✓ Environmental /ecological/ conditions



Cont...

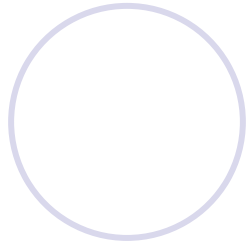
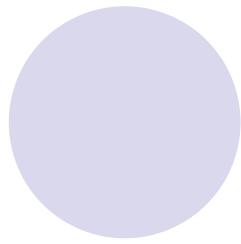
## **Health care environment**

- ✓ Public policy
  - ➔ *regulation, license, accreditation*
- ✓ Competitors
- ✓ Health care financing
- ✓ Technology
- ✓ Health research and education
- ✓ Public health
  - [sanitation, environmental protection]

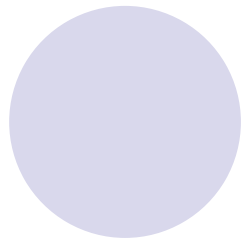
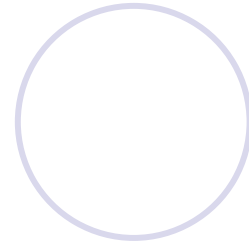
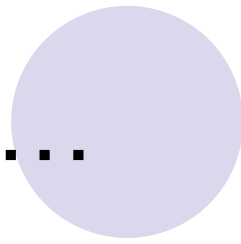


# Contingency theory

- Proponents of this theory  
(Burns & Staker, 1961; Lawrence & Lorsch 1967, et al )
- Suggest that a **more bureaucratic** form of **organization** is **more effective** **when the environment is relatively simple** and stable, task and technology are relatively routine and a relatively high percentage of **non professional** workers are employed.
- In contrast **a less bureaucratic** form of **organization** is likely to be **more effective when the environment is complex** and dynamic, task and technology are non routine and a relatively high percentage of **professional** involved.

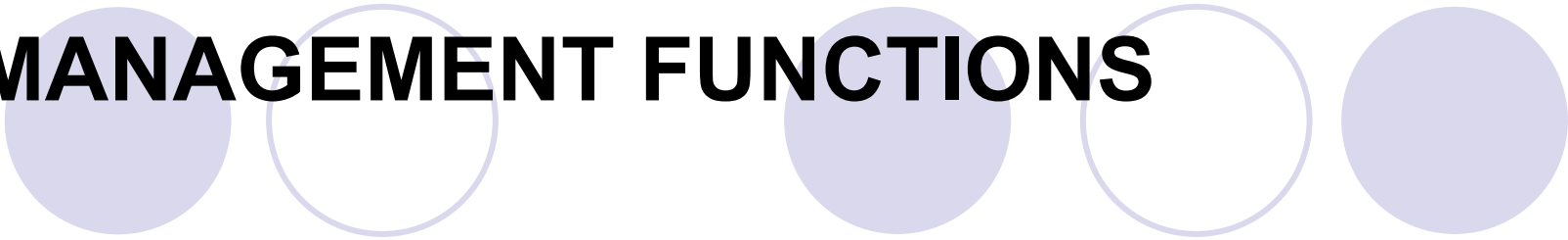


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- Contingency theorists do not advocate an either /or approach but rather view the process as a continuum from more or less bureaucratic (mechanistic) to more or less organic.
- Contingency has wide application to health services(Mohr,1982)

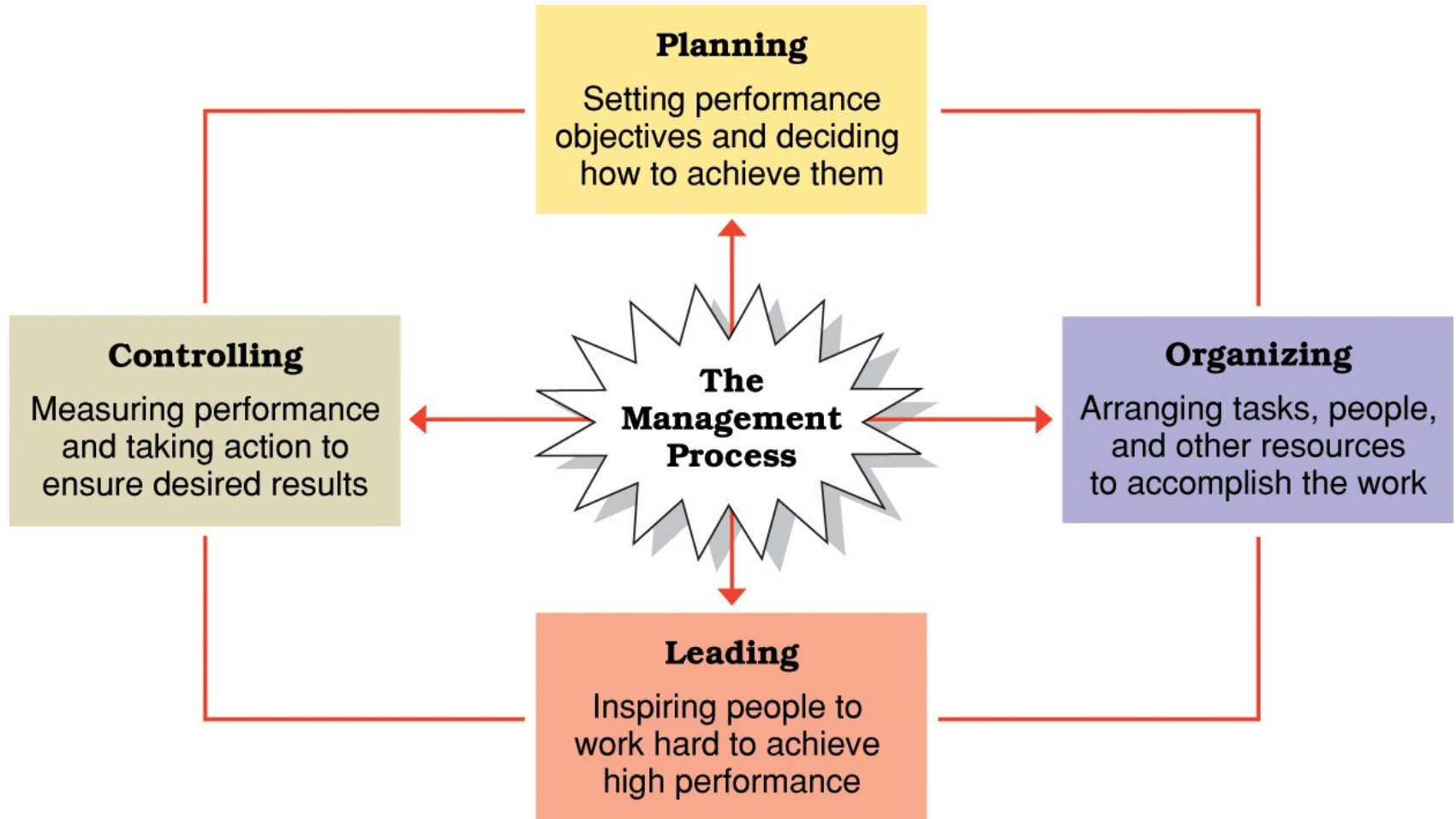
# MANAGEMENT FUNCTIONS

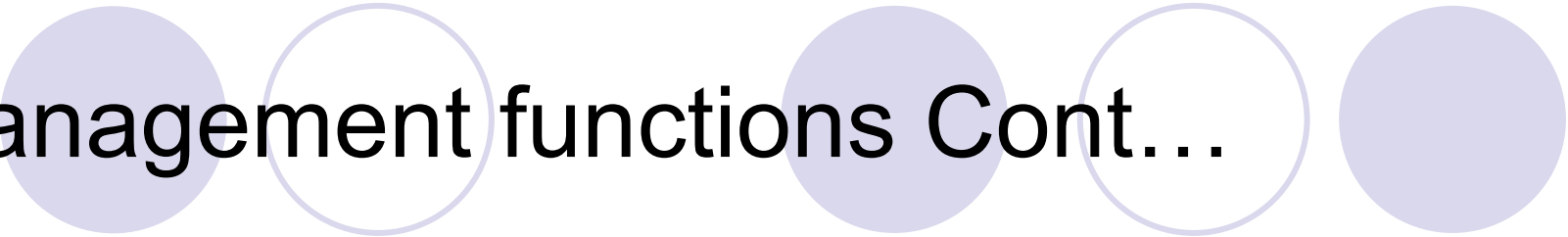


□ The set of social and technical functions inherent in the management process includes:

- **Planning**
- **Organizing**
- **Staffing**
- **Directing** (*motivating, leading & communicating*)
- **Controlling**

Cont...





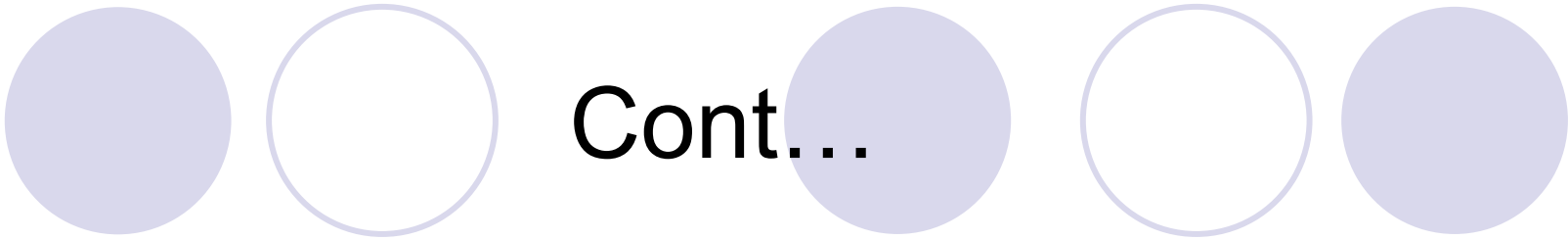
# Management functions Cont...

- ❑ **Planning** is the function that **determines in advance what should be done.**
- ❑ It is looking ahead and preparing for the future.
- ❑ It is the process of deciding the organizational objectives and charting out ways of attaining those objectives.



# Organizing

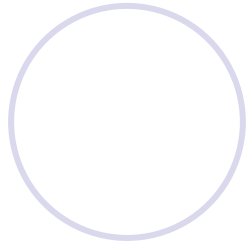
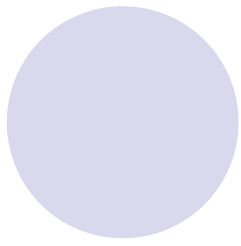
- It is the process of **developing intentional pattern of relationship among people and other resources.**
- The manager **Differentiates** and **Integrates** the activities.
- By **differentiation is** the process of **departmentalization** or segmentation of activities.
- **Integration is** the process of achieving **unity of effort** among various **departments.**



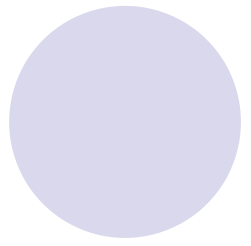
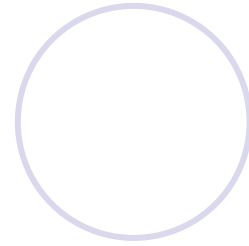
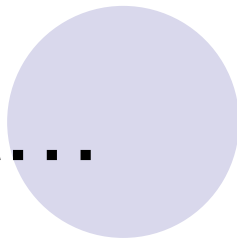
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## Staffing

- It is the process of **filling and keeping** the **positions** provided for by the organizational structure, filled with right people at right places at the right time.
- It includes several sub function like;
  - *Recruitment*
  - *Selection*
  - *Transfer and promotions*
  - *Training*

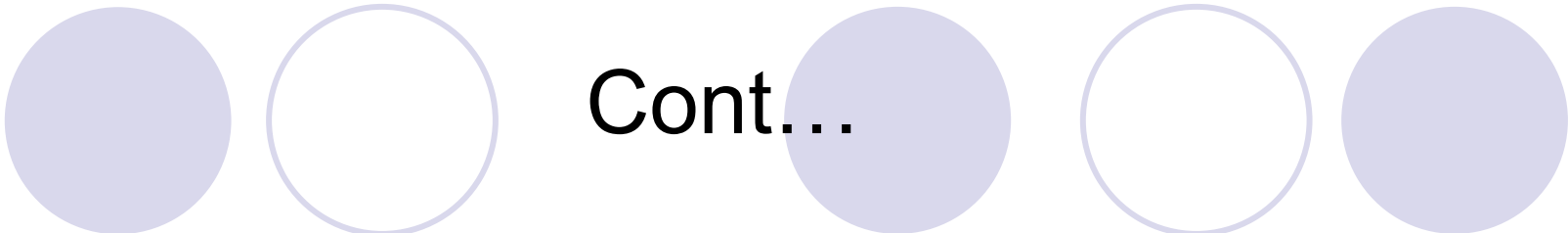


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## Leading;

- According to Keith Davis leadership is **the ability to persuade/convince/influence others to seek defined objectives enthusiastically/Willingly/Passionately/Eagerly.**
- It is the human factor which binds a group together and motivates it towards goals.



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## Controlling

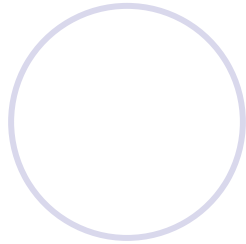
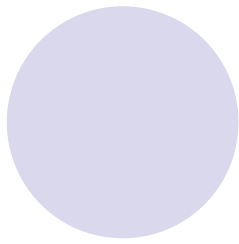
- ❑ Is a process of **establishing performance standards** based on the HSO's objectives,
- ❑ Measuring actual performance, comparing it with the intended result , and taking corrective action as necessary.
- ❑ **In other words, it is regulating activities in accordance with the plan.**

# Basic Concepts and Principles in management

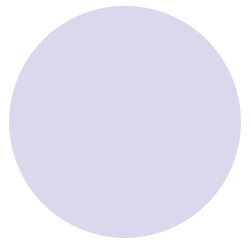
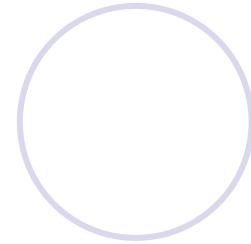
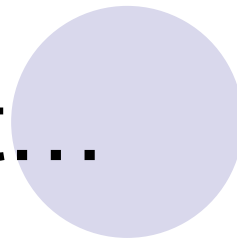
## 1. Concepts

### 1.1 Effectiveness

- ❑ Is the degree to which a stated objective is being achieved.
- ❑ It is doing the right things.

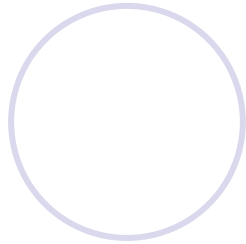
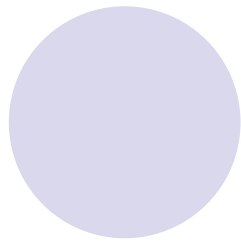


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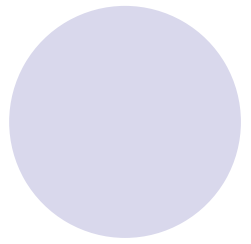
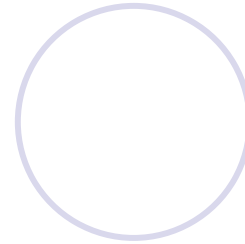
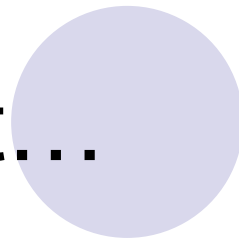


## 1.2 Efficiency

- ☐ Is balanced use of resources while achieving the stated objectives.
- ☐ Is cost-effectiveness where objectives are achieved with the lowest practicable *cost*.



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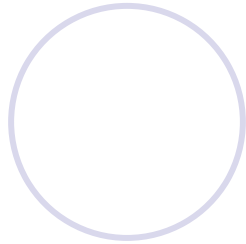
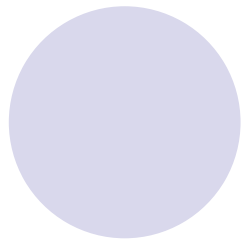


## 1.3 Economy of scarce resources

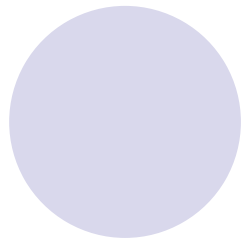
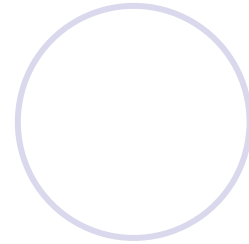
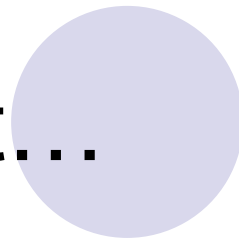
- ❑ Often many, resources are scarce and costly thus we have to economize.

## 1.4 Work relations

- ❑ Work activities should be designed and structured so as **to support each other** towards the achievement of objectives.

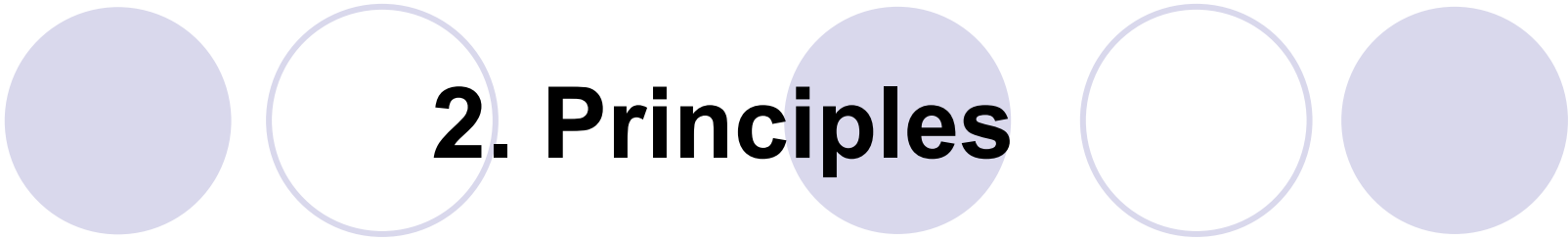


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## ***1.5 Information***

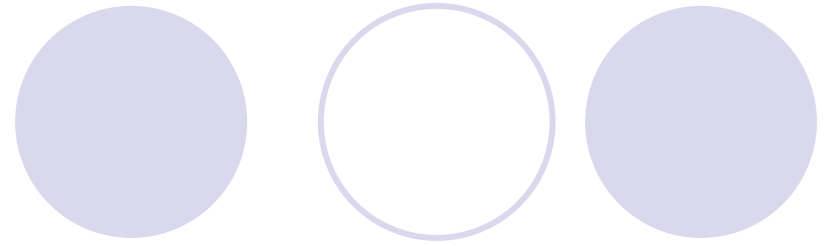
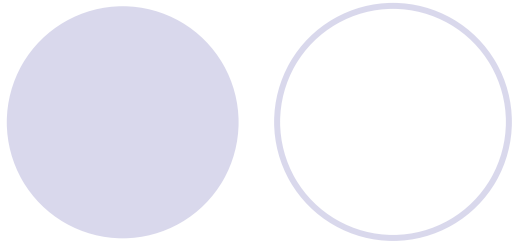
- ☐ Is essential to make the right decision for action.
- ☐ Information should be the right kind, at the right time, and in the right hands.



## 2. Principles

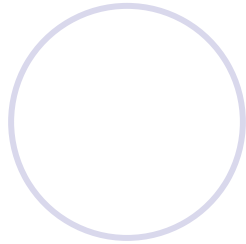
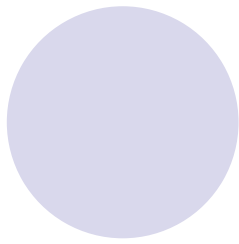
### 2.1 Management by objectives

- A process in which **specific performance objectives are jointly set** by subordinates and their superiors.
- Progress towards objectives is periodically reviewed and rewards are allocated on the basis of progress.
- Each person's major area of responsibilities is clearly defined in terms of measurable outcome

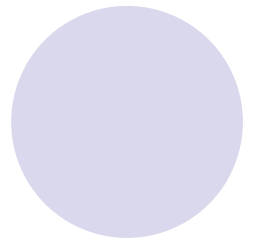
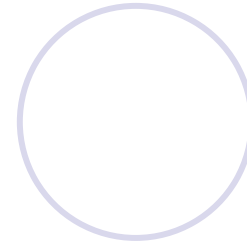
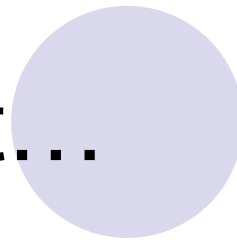


## ***MBO Principles ;***

- Cascading of organizational goals and objectives
- Specific objectives for each member
- Participative decision making
- Explicit time period
- Performance evaluation and feedback

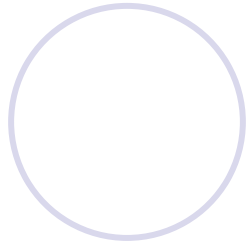
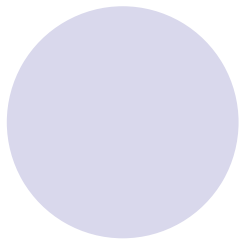


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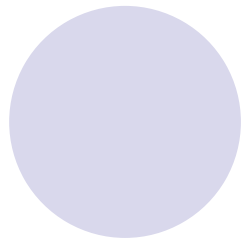
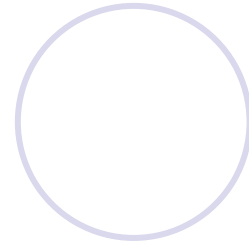
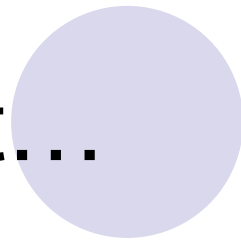


## 2.2 Learning from experience

- Any **gap between objectives and obtained results** (achievements)  
→ *analysis* → *discover causes of the gap*

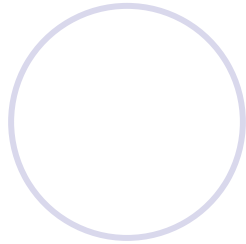
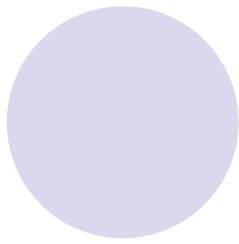


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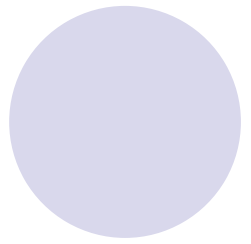
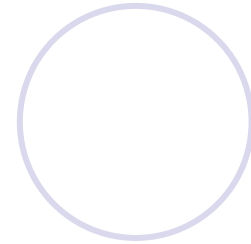
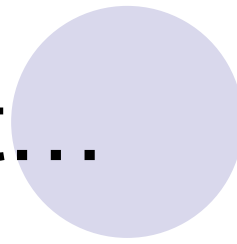


## 2.3 Division of labor

- Management attempts to bring about **balance of work among different people concerned.**
- Assign the right proportion of each kind of task to the staff at hand

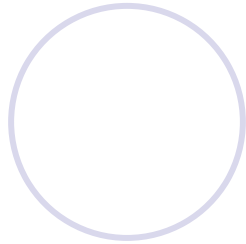
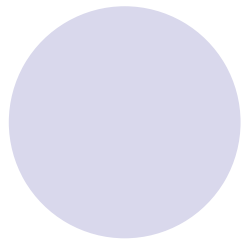


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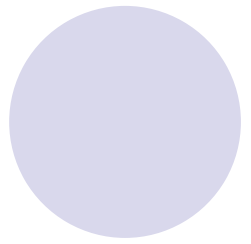
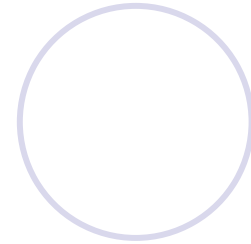
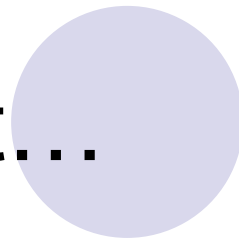


## 2.4 Substitution of Resources

- when the resources normally used to provide service become scarce or too expensive, different resources may be used to deliver the same service.



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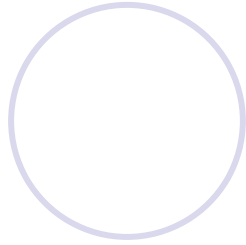
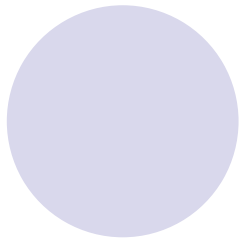


## **2.5 Convergence of work**

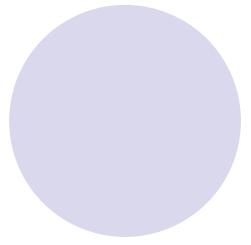
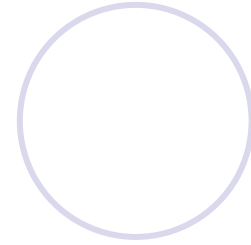
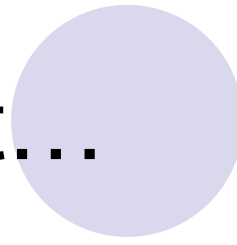
- Working relations should contribute to the success of each activity and so to the general goal of the organization

## **2.6 Functions determine structure**

- Determining the function & duties of individual member is followed by working relations (structure).

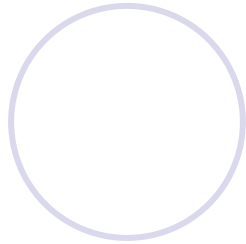
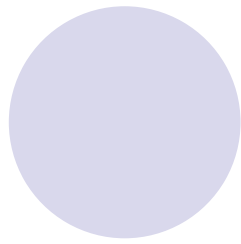


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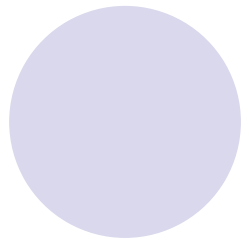
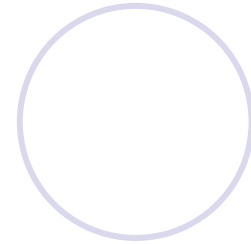
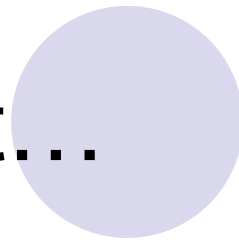


## 2.7 Delegation

- Assigning job activities and corresponding authority to specific individuals within the organization.



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## **2.8 Management by exception**

- Selectivity in handling information & prioritized decision making

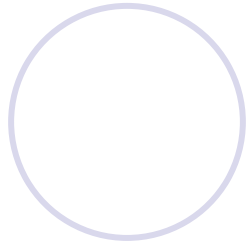
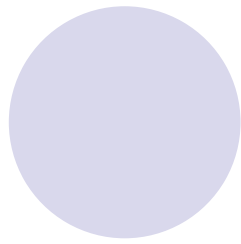
## **2.9 Short Decision path**

- Decision must be made as closely as possible in time and place to the object of decision and to those affected by it.

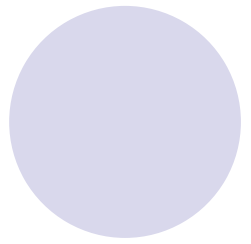
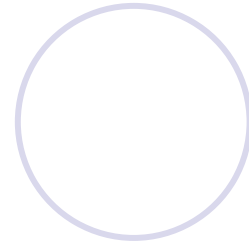
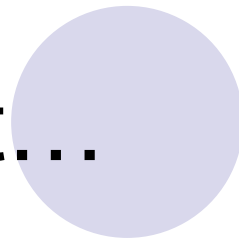
# Levels , Skills & Roles of Managers

## Managers

- Are people formally appointed to positions of authority in organizations or systems who:
  - Enable others to do their direct or support work effectively
  - Have responsibility for resource utilization
  - Are accountable for work results



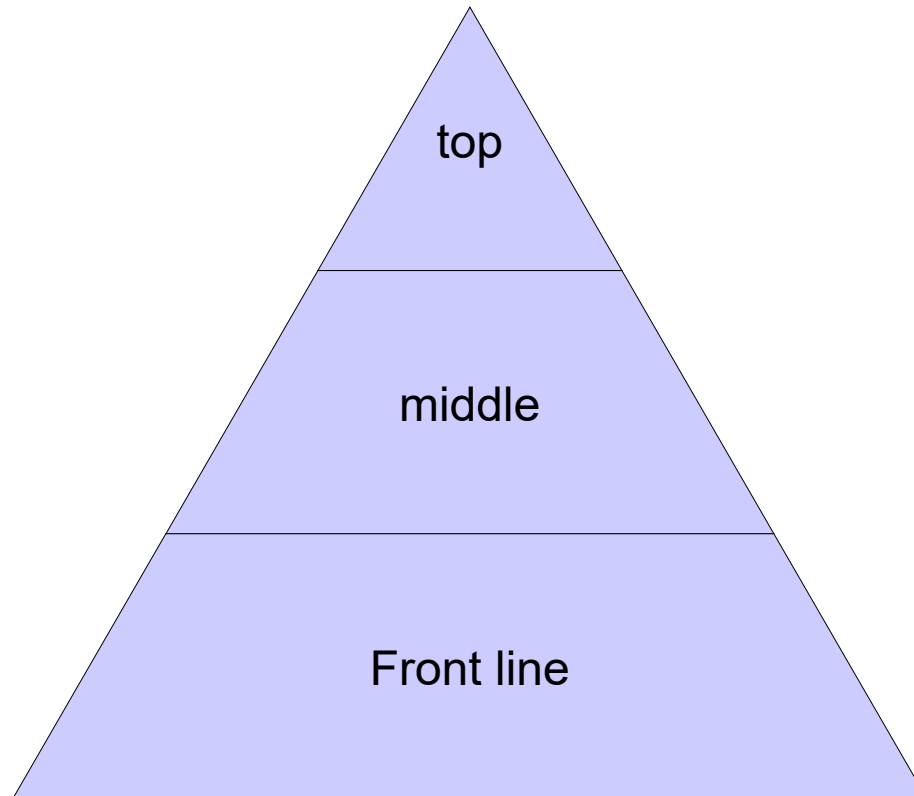
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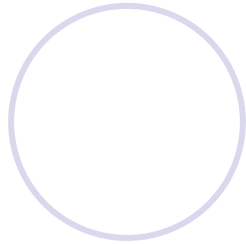
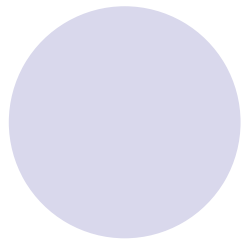


## Types

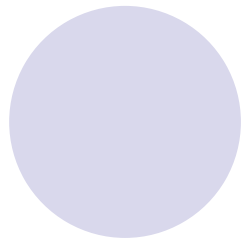
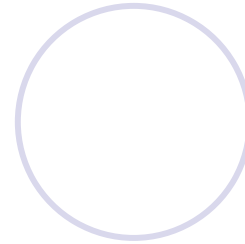
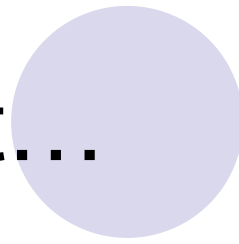
- Three levels
- The primary difference between levels of managers are ***the degree of authority*** and ***the scope of responsibility*** .

# Levels of management





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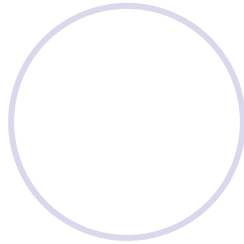
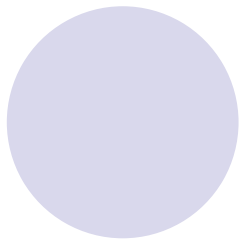


## Top level (senior) managers

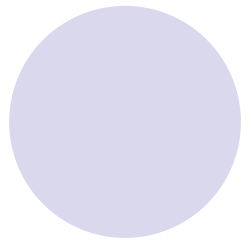
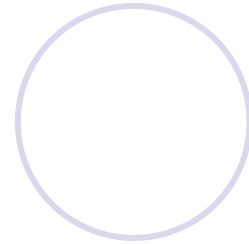
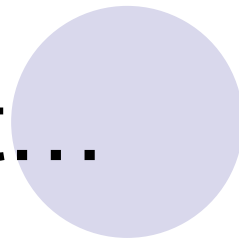
- **Have authority over and are responsible for the entire organization**

I.E. All staff, resources and organizational results

- Are accountable to the governing body
- Establish operating policies and guide the organization with its environment

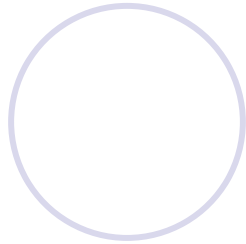
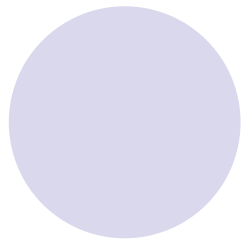


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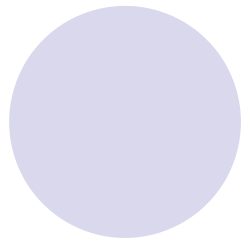
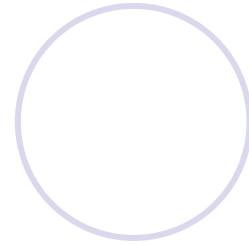
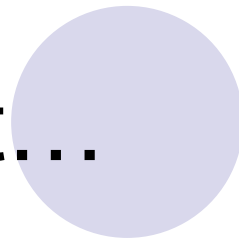


## Middle-level managers

- Reporting to senior managers
- There are numerous middle level managers than top managers
- **Have authority over & responsibility for a specific segments of the organization**

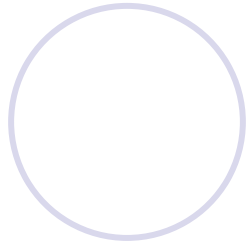
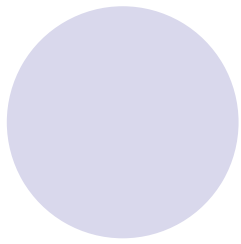


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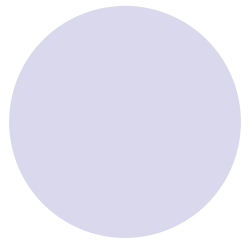
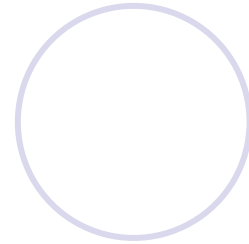
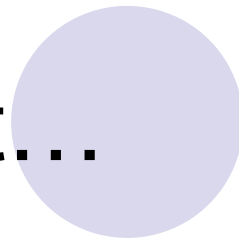


## First-level (front line) managers

- Report to middle-level managers
- Have authority over & responsibility for **overseeing specific work** & a particular group of workers



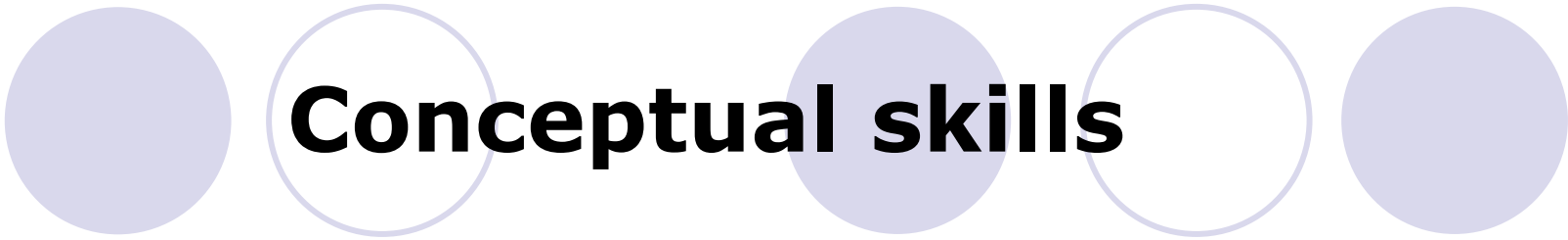
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## Management Skills

❖ There are three distinct types of skills:

1. Conceptual skill
2. Human relation skill
3. Technical skills



# Conceptual skills

- **Reflect the mental abilities of managers to visualize the complex interrelationships in a work place .**
- Permits managers to understand how the various factors in particular situations fit together & interact one another
- **Cognitive ability to see the organization as a whole and relationship among its parts**

# Human relations & communication skills

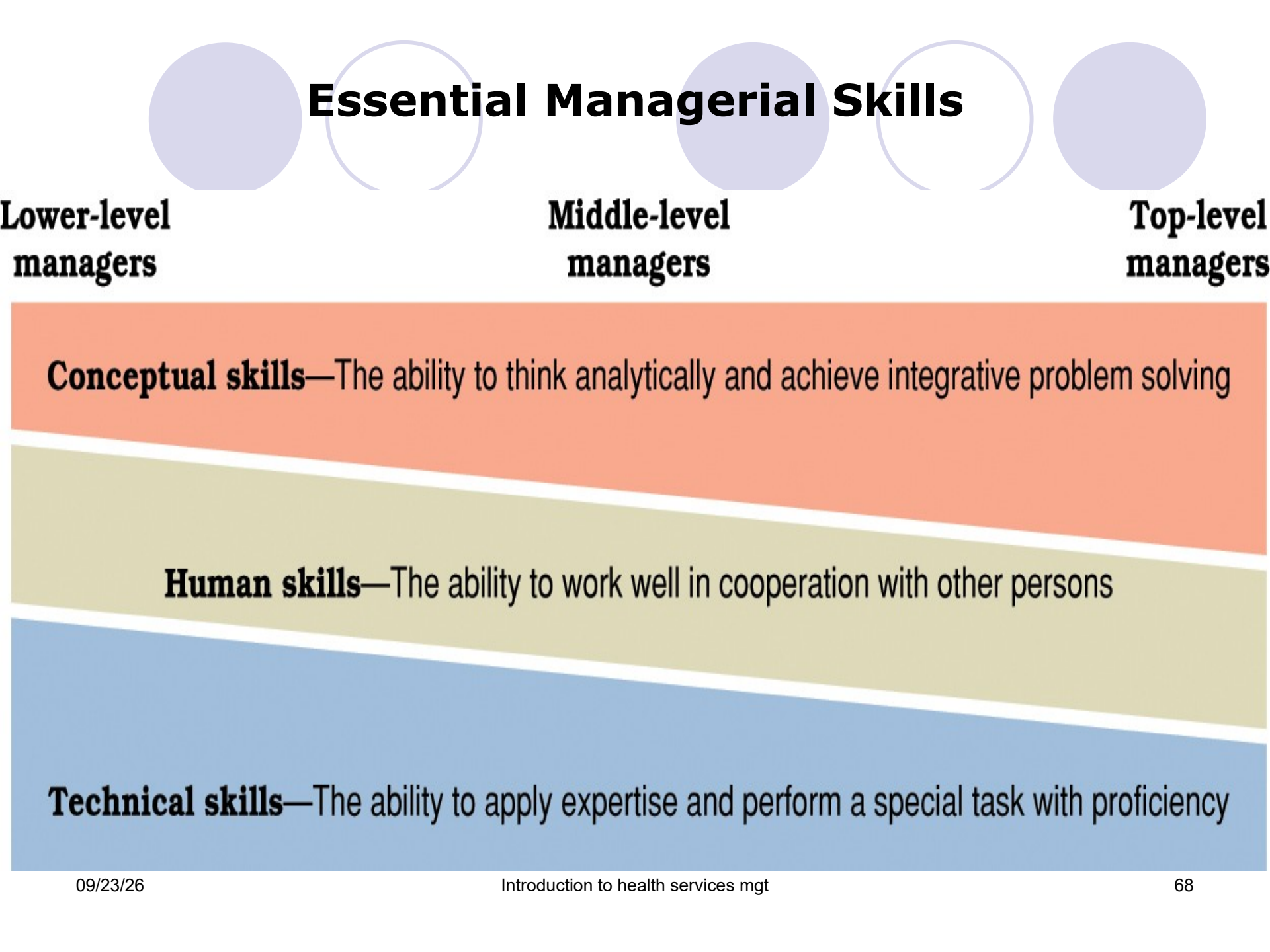
- Are the **abilities of managers to get along well with other people**, to understand them, & to motivate & lead them in the work place
- The ability to motivate, facilitate, coordinate, lead, communicate & resolve conflicts.



## Technical skills

- ✓ Are abilities to use the methods, processes, and techniques of managing
- ✓ It includes:
  - Methods & techniques
  - Specialized knowledge
  - Competent use of tools
  - Techniques to solve problems in that specific discipline

# Essential Managerial Skills



**Lower-level  
managers**

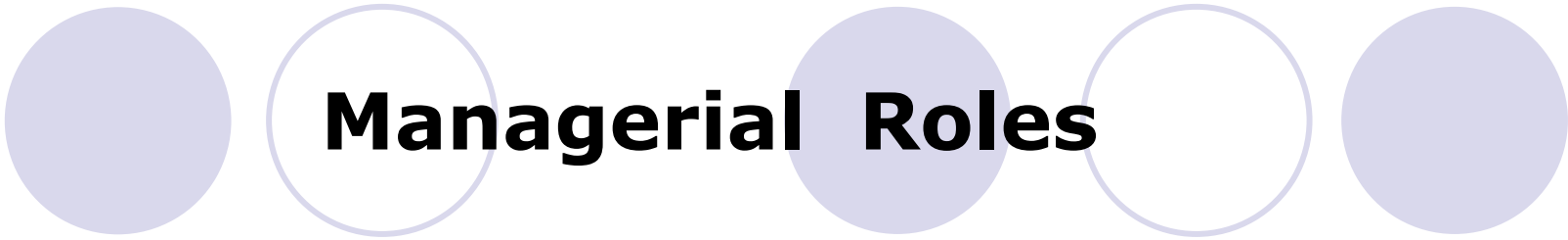
**Middle-level  
managers**

**Top-level  
managers**

**Conceptual skills**—The ability to think analytically and achieve integrative problem solving

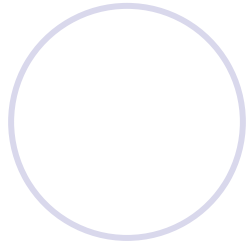
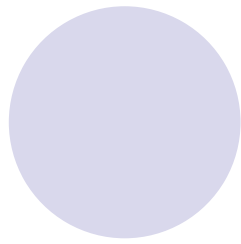
**Human skills**—The ability to work well in cooperation with other persons

**Technical skills**—The ability to apply expertise and perform a special task with proficiency

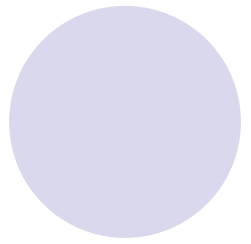
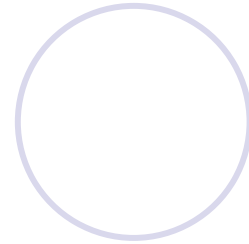
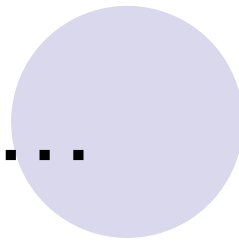


# Managerial Roles

- Managerial role is the **behavioral pattern expected of someone** within a functional unit.
- All managers have formal authority over their organizational units & derive status out of that position.
- The work of managers is viewed as a series of three broad categories of roles, (Henry Mintzberg).



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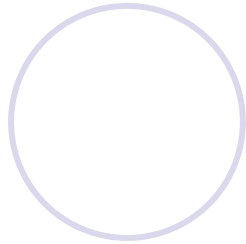
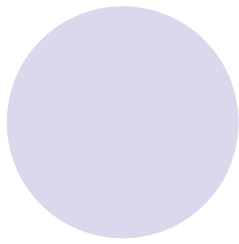
## 1. Interpersonal roles

### **Figurehead**

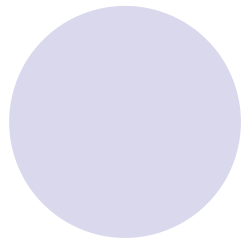
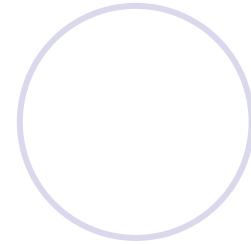
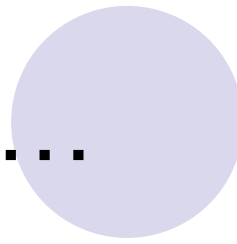
- **Performs ceremonial & symbolic duties** such as greeting visitors, making speeches at organizational events, signing legal documents etc.

### **Leader (influencer)**

- **direct & motivate subordinates**
- seek to motivate, inspire & set examples through their own behavior

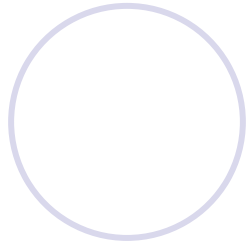
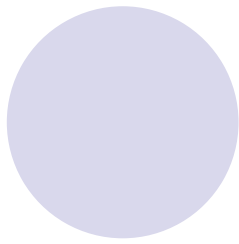


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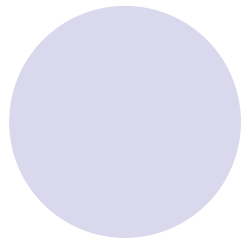
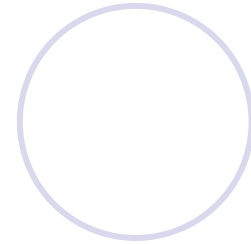
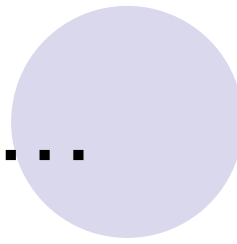


## **Liaison**

- Allows managers to formal & informal contacts both inside & outside their organization to establish **relationships** that will help them achieve organizational objectives.
- All effective managers “play politics” in the sense that they develop network.
- **Interpersonal roles provide managers with opportunities to gather information.**



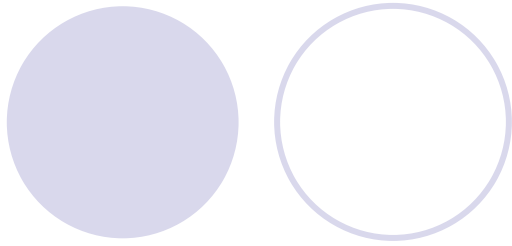
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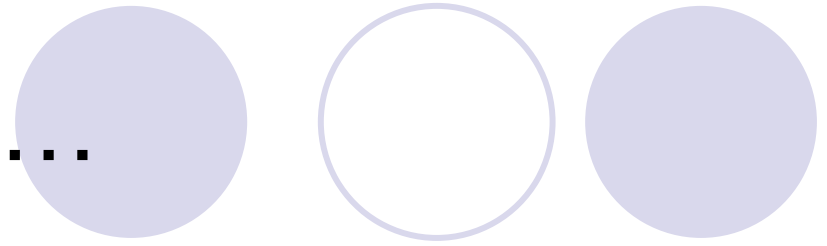
## **2. Informational roles**

### **Monitor role**

- **Managers gather information from their network of contacts, including those established in their liaison roles .**
- **Filter the information, evaluate it and decide whether to act as a result of the information**

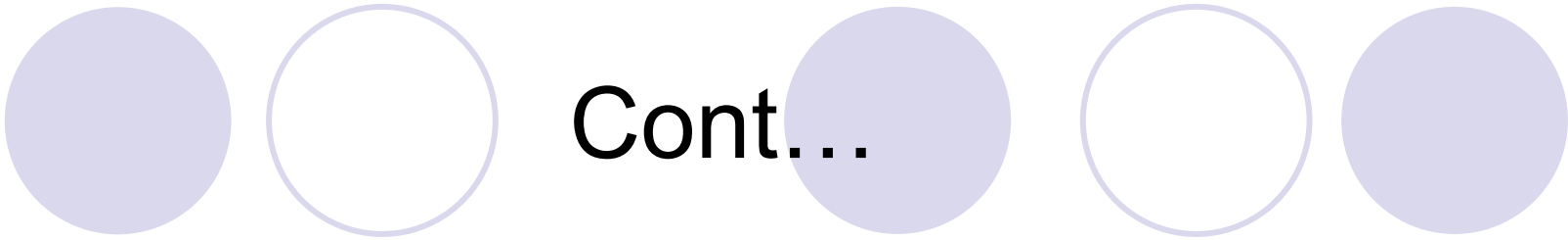


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## **Disseminator**

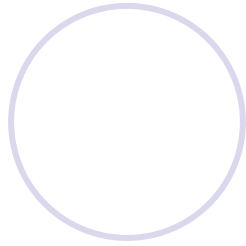
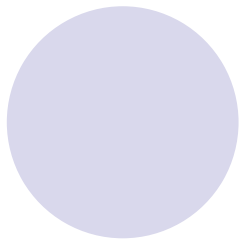
- This role grows out of the managers' access to information and his ability to choose what to do with that information
- **Distributes information to those who should receive it, both outside and inside the organization**



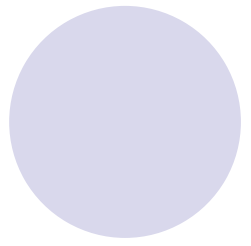
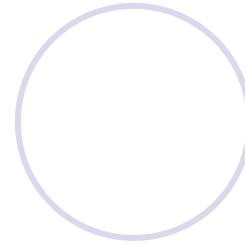
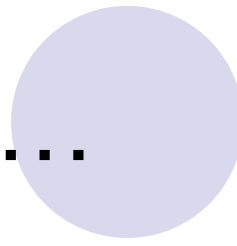
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## Spokesperson

- ❑ Is related to the figurehead role
- ❑ ***Communicating the position of their organizations to internal and external stakeholders who affect their areas of responsibilities***
- ❑ Transmit information to people outside the work unit, keep supervisors informed or **representing** the organization in dealing with the external environment

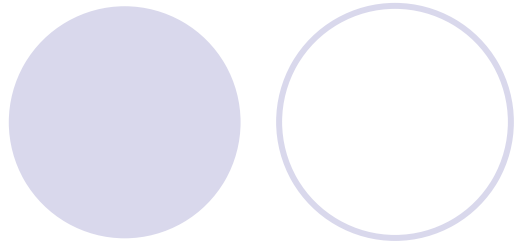


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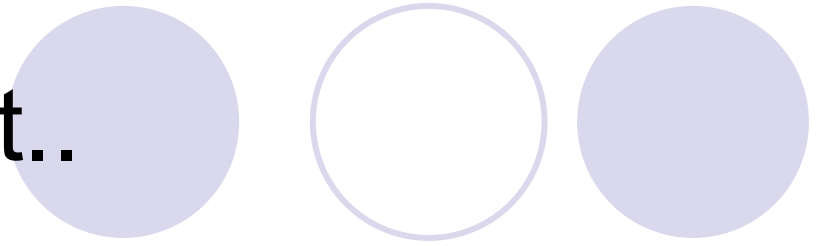


### 3 . **Decisional roles**

- The authority granted by their organization supported by their interpersonal and informational roles permits managers to play decisional role.

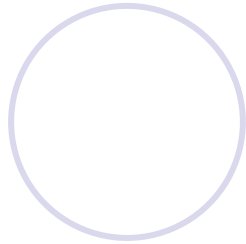
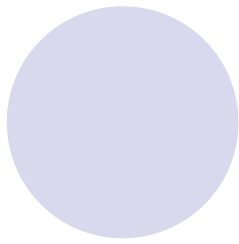


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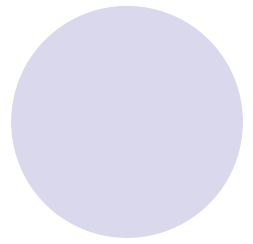
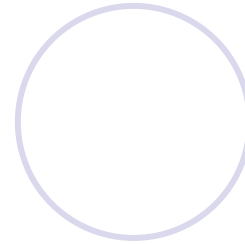
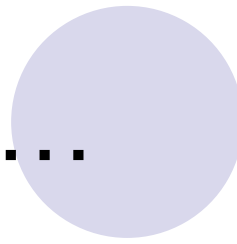


## **Entrepreneur**

- **Are initiators and designers of changes** intended to improve performances in their organizational domains
- **Act as change agents** → initiate improvement projects, identify new ideas, delegate idea responsibilities to others.

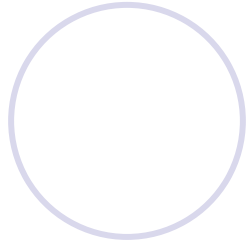
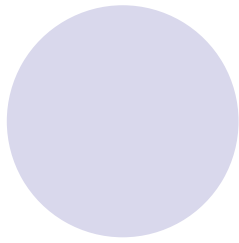


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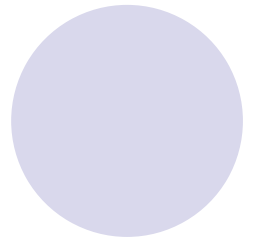
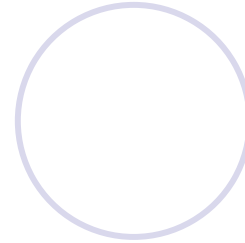
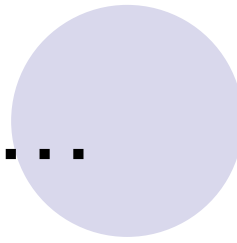


## **Disturbance handler**

- **Detect wide variety of problems & decides on and implements solutions**
- Takes corrective action during disputes or crises and resolves conflicts among subordinates
- The ability to make good decisions about handling disturbances is an important determinant of managerial success.

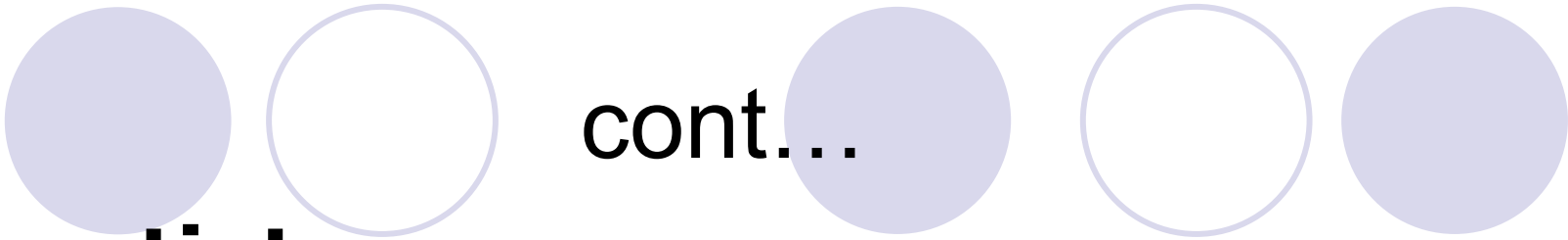


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## **Resource allocator**

- Prioritize tasks and make decisions regarding the use of limited resources to meet conflicting needs to achieve goals



cont...

## **Negotiator**

- Interact and bargain employees, suppliers, regulators, customers, clients and others.
- Represent departmental interests during negotiations
- **Negotiating includes deciding what objectives to seek through negotiations and how to conduct the negotiations.**

# Mintzberg's 10 managerial roles.

## Interpersonal roles

How a manager interacts with other people

- Figurehead
- Leader
- Liaison

## Informational roles

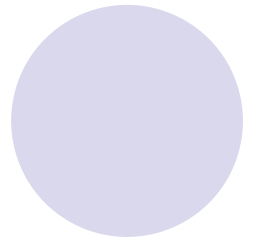
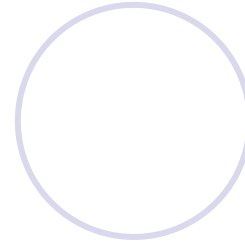
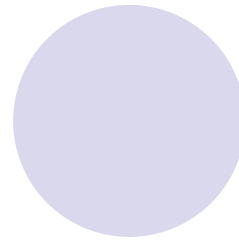
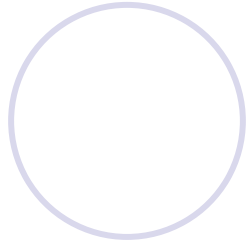
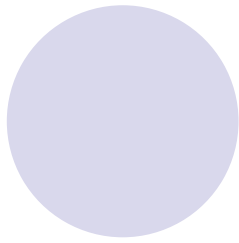
How a manager exchanges and processes information

- Monitor
- Disseminator
- Spokesperson

## Decisional roles

How a manager uses information in decision making

- Entrepreneur
- Disturbance handler
- Resource allocator
- Negotiator



**THANKS!**